

future prospects. And in many cases the prospects will have been given *more* than their just need of recognition. When a stock is recommended for the reason that next year's earnings are expected to show improvement, a twofold hazard is involved. First, the forecast of next year's results may prove incorrect; second, even if correct, it may have been discounted or even overdiscounted in the current price.

If markets generally reflected only this year's earnings, then a good estimate of next year's results would be of inestimable value. But the premise is not correct. Our table that follows shows on the one hand the annual earnings per share of United States Steel Corporation common and on the other hand the price range of that issue for the years 1902–1939. Excluding the 1928–1933 period (in which business changes were so extreme as necessarily to induce corresponding changes in stock prices), it is difficult to establish any definite correlation between fluctuations in earnings and fluctuations in market quotations.

In Appendix Note 70, we reproduce significant parts of the analysis and recommendation concerning two common stocks made by an important statistical and advisory service in the latter part of 1933. The recommendations are seen to be based largely upon the apparent outlook for 1934. There is no indication of any endeavor to ascertain the fair value of the business and to compare this value with the current price. A thorough-going statistical analysis would point to the conclusion that the issue of which the sale is advised was selling below its intrinsic value, just because of the unfavorable immediate prospects, and that the opposite was true of the common stock recommended as worth holding because of its satisfactory outlook.

We are sceptical of the ability of the analyst to forecast with a fair degree of success the market behavior of individual issues over the near-term future—whether he base his predictions upon the technical position of the market or upon the general outlook for business or upon the specific outlook for the individual companies. More satisfactory results are to be obtained, in our opinion, by confining the positive conclusions of the analyst to the following fields of endeavor:

1. The selection of standard senior issues that meet exacting tests of safety.
2. The discovery of senior issues that merit an investment rating but that also have opportunities of an appreciable enhancement in value.